



CHAPTER 28.

An Act to grant certain duties, to alter other duties, and to amend the law relating to the Public Revenue and the National Debt, and to make further provision in connection with Finance. [22nd July 1943.]

Most Gracious Sovereign,

WE, Your Majesty's most dutiful and loyal subjects, the Commons of the United Kingdom in Parliament assembled, towards raising the necessary supplies to defray Your Majesty's public expenses, and making an addition to the public revenue, have freely and voluntarily resolved to give and grant unto Your Majesty the several duties hereinafter mentioned; and do therefore most humbly beseech Your Majesty that it may be enacted, and be it enacted by the King's Most Excellent Majesty, by and with the advice and consent of the Lords Spiritual and Temporal, and Commons, in this present Parliament assembled, and by the authority of the same, as follows:—

PART I.

CUSTOMS, EXCISE AND PURCHASE TAX.

1.—(1) Section one of the Finance (No. 2) Act, 1939 (which Beer. imposes duties of excise and customs in respect of beer) shall 2 & 3 Geo. 6. have effect as if Parts I, III and IV of the First Schedule to this ^{c. 109.} Act were respectively substituted for Parts I, III and IV of the First Schedule to that Act.

(2) In the case of beer in respect of which it is shown to the satisfaction of the Commissioners that the increased duty chargeable by virtue of this section has been paid, the provisions of

PART I.
—cont.

the said section one relating to drawback shall have effect as if Parts II, V and VI of the First Schedule to this Act were respectively substituted for Parts II, V and VI of the First Schedule to the Finance (No. 2) Act, 1939.

(3) This section shall be deemed to have had effect as from the thirteenth day of April, nineteen hundred and forty-three.

Spirits.

10 & 11
Geo. 5. c. 18.

2.—(1) The duties of customs charged on spirits under subsection (1) of section three of the Finance Act, 1920, in addition to the duties specified in Part II of the First Schedule to that Act shall be charged at the increased rates specified in the Second Schedule to this Act; and accordingly the said subsection (1) shall have effect as if the said Schedule to this Act were substituted for Part I of the First Schedule to that Act.

(2) The rate of the duty of excise charged on spirits under subsection (2) of section three of the Finance Act, 1920, in addition to the duties specified in Part III of the First Schedule to that Act shall be increased to seven pounds seventeen shillings and sixpence per gallon computed at proof; and accordingly the said subsection (2) shall have effect as if for the words "six pounds, seventeen shillings and sixpence" there were substituted the words "seven pounds, seventeen shillings and sixpence".

(3) This section shall be deemed to have had effect as from the thirteenth day of April, nineteen hundred and forty-three.

Wines.

3.—(1) Section three of the Finance (No. 2) Act, 1939 (which imposes duties of customs on wines) shall have effect as if Parts I and II of the Third Schedule to this Act were respectively substituted for Parts I and II of the Third Schedule to that Act.

(2) This section shall be deemed to have had effect as from the thirteenth day of April, nineteen hundred and forty-three.

Sweets.

17 & 18
Geo. 5. c. 10.

4.—(1) The duty of excise on sweets charged under section six of the Finance Act, 1927, shall—

(a) in the case of sparkling sweets, be at the rate of one pound ten shillings instead of one pound three shillings and ninepence per gallon; and

(b) in the case of other sweets, be at the rate of fourteen shillings and sixpence instead of eleven shillings and sixpence per gallon.

(2) This section shall be deemed to have had effect as from the thirteenth day of April, nineteen hundred and forty-three.

Tobacco.

3 & 4
Geo. 6. c. 48.

5.—(1) In lieu of the duties of customs charged on tobacco under subsection (1) of section four of the Finance (No. 2) Act, 1940, there shall be charged on tobacco imported into the United

Kingdom of the descriptions set out in the first column of Part I of the Fourth Schedule to this Act—

PART I.
—*cont.*

- (a) in the case of tobacco not being an Empire product, duties of customs at the rates respectively specified in the second column of that Part of that Schedule ; and
- (b) in the case of tobacco being an Empire product, duties of customs at the rates respectively specified in the third column of that Part of that Schedule.

(2) In lieu of the duties of excise charged on tobacco under subsection (2) of the said section four, there shall be charged on tobacco grown in the United Kingdom of the descriptions set out in the first column of Part II of the Fourth Schedule to this Act duties of excise at the rates respectively specified in the second column of that Part of that Schedule.

(3) The drawback allowed under section one of the Manufactured Tobacco Act, 1863, on tobacco exported from the United Kingdom or deposited in a bonded or King's warehouse shall— 26 & 27
Vict. c. 7.

- (a) in cases where it is shown that the duties charged under subsection (1) of this section have been paid, be allowed—

- (i) in respect of tobacco on which full customs duty has been paid, at the rates specified in the second column of Part III of the Fourth Schedule to this Act ; and

- (ii) in respect of tobacco on which customs duty at a preferential rate has been paid, at the rates specified in the third column of that Part of that Schedule ; and

- (b) in cases where it is shown that the duties charged under subsection (2) of this section have been paid, be allowed at the rates specified in the third column of that Part of that Schedule,

instead of at the rates specified in Part III of the Fourth Schedule to the Finance Act, 1942, but subject, in either of those cases, to the provisions affecting allowance of drawback contained in the Schedule to the Finance Act, 1904. 5 & 6
Geo. 6. c. 21.
4 Edw. 7. c. 7.

(4) For the purposes of subsections (2) and (3) of section eight of the Finance Act, 1919 (which relate to articles manufactured in the British Empire from material which is not wholly grown or produced in the Empire and to goods manufactured in the United Kingdom from dutiable material shown to have been consigned from and grown or produced in the British Empire) the rates of the duties of customs imposed by this section in the case of tobacco being an Empire product shall be deemed to be preferential rates within the meaning of that section. 9 & 10
Geo. 5. c. 32.

PART I.
—cont.

(5) In this section the expression "Empire product" has the same meaning as it has for the purposes of the said section eight.

(6) This section shall be deemed to have had effect as from the thirteenth day of April, nineteen hundred and forty-three.

Entertain-
ments.

6. As respects payments for admission to entertainments held on or after the sixteenth day of May, nineteen hundred and forty-three, other than payments made before the thirteenth day of April in that year, entertainments duty within the meaning of the Finance (New Duties) Act, 1916, shall be charged and be deemed always to have been chargeable—

6 & 7
Geo. 5. c. 11.

(a) in the case of entertainments chargeable at reduced rates by virtue of subsection (3) of section one of the Finance Act, 1935 (which relates to stage plays, etc.), at the rates set out in Part I of the Fifth Schedule to this Act; and

25 & 26
Geo. 5. c. 24.

(b) in the case of other entertainments, at the rates set out in Part II of that Schedule.

Relief from
duty for
vehicles used
for clearing
snow.

7.—(1) A mechanically propelled vehicle shall not be chargeable with any duty under section thirteen of the Finance Act, 1920, by reason of the use thereof for clearing snow from public roads by means of a snow plough or similar contrivance, whether forming part of the vehicle or not, or for the purpose of going to or from the place where it is to be used for clearing snow from public roads by those means.

(2) This section shall be deemed to have had effect as from the fourth day of October, nineteen hundred and forty-two.

Reduction
of duty on
certain
mechanically
propelled
vehicles
used for
agricultural
purposes.23 & 24
Geo. 5. c. 19.2 & 3
Geo. 6. c. 41.3 & 4
Geo. 6. c. 29.10 & 11
Geo. 5. c. 72.

8.—(1) Sub-paragraph (a) of paragraph 4 of the Second Schedule to the Finance Act, 1920 (which, as amended by the Seventh Schedule to the Finance Act, 1933, section ten of the Finance Act, 1939, and section nine of the Finance Act, 1940, provides that locomotive ploughing engines, tractors, agricultural tractors and other agricultural engines shall, in certain cases, be liable only to a five shilling excise duty) shall, in relation to the use on roads, during the period specified in subsection (4) of this section, of any such agricultural or other tractor or engine as aforesaid (being a tractor or engine registered under the Roads Act, 1920, in the name of a person engaged in agriculture or of a registered agricultural contractor and used primarily for work on land in connection with agriculture) have effect as if, for paragraphs (ii) and (iii) thereof, there were substituted the following paragraph:—

"(ii) for hauling agricultural produce of, or articles required for, any farm or market garden".

(2) In this section, the expression "registered agricultural contractor" means a person registered under the Agricultural

Contractors (Registration and Control) Orders, 1940, or the Agricultural Contractors (Registration and Control) (Scotland) Order, 1941.

PART I.
—cont.

(3) In subsection (7) of section two of the Finance Act, 1935 (which, as amended by section eight of the Finance Act, 1942, excepts from the provisions of that section withdrawing the rebate on heavy oils used as fuel for mechanically propelled vehicles the vehicles mentioned in sub-paragraphs (a), (b), (c) and (d) of the said paragraph 4) the reference to the said sub-paragraph (a) shall, in relation to the vehicles and the period mentioned in subsections (1) and (4) of this section, be construed as a reference to the said sub-paragraph (a) as amended by subsection (1) of this section.

(4) The period hereinbefore referred to is the period beginning with the eighteenth day of March, nineteen hundred and forty-three, and ending with such date as His Majesty may by Order in Council determine, and this section shall be deemed to have had effect as from the said eighteenth day of March.

9.—(1) Where a licence has been taken out for a mechanically-propelled vehicle under sub-paragraph (a) of paragraph 5 of the Second Schedule to the Finance Act, 1920 (which, as amended by the Seventh Schedule to the Finance Act, 1933, specifies the rates of duty to be charged on vehicles registered in the name of a person engaged in agriculture and used on roads solely by him for the purpose of the conveyance of the produce of, or of articles required for the purposes of, the agricultural land which he occupies), duty at a higher rate shall not become chargeable in respect of that vehicle by reason only that, during such periods and in such areas as may be specified by order of the Treasury, it is used, whether by the person in whose name it is registered or not, for any such purpose as is specified in the order. Relief from duty for agricultural vehicles.

(2) An order under this section may be revoked or varied by a subsequent order of the Treasury.

(3) This section shall continue in force until such date as His Majesty may by Order in Council determine.

10.—(1) For the purposes of paragraphs 4 and 5 of the Second Schedule to the Finance Act, 1920, the unladen weight of a mechanically propelled vehicle shall not be taken to include the weight of a contrivance attached thereto, being a contrivance designed or adapted for the purpose of enabling the vehicle to tow or be towed : Relief from duty for vehicles fitted with towing contrivances.

Provided that in computing the unladen weight of a vehicle there shall not, by virtue of this subsection, be excluded the weight of a contrivance attached to the rear of a vehicle chargeable with duty under the said paragraph 4 or of a vehicle chargeable with

PART I.
—cont.

duty under the said paragraph 5 and used for drawing a trailer, or, in any event, an amount exceeding—

- (a) where a contrivance, the weight of which falls to be excluded, is attached to one end only of the vehicle, one hundredweight ;
- (b) where such a contrivance is attached to each end of the vehicle, two hundredweight.

(2) This section shall be deemed to have had effect as from the first day of August, nineteen hundred and forty-two, and shall continue in force until such date as His Majesty may by Order in Council determine.

Higher rate
of purchase
tax to be
one hundred
per cent.

11.—(1) The higher rate of purchase tax, being the rate at which the tax is chargeable by virtue of subsection (1) of section seventeen of the Finance Act, 1942, shall, in the case of tax becoming due on or after the thirteenth day of April, nineteen hundred and forty-three, be one hundred per cent. of the whole-sale value of the goods instead of two-thirds of that value, and accordingly, in relation to tax becoming due as aforesaid, the said subsection (1), and sub-paragraph (i) of paragraph (a) of subsection (3) of section nineteen of the Finance (No. 2) Act, 1940, shall have effect with the substitution for the words "two-thirds" of the words "one hundred per cent".

(2) Where in respect of goods bought under a purchase made before the said thirteenth day of April purchase tax at the higher rate becomes due on or after that date, the seller may, in the absence of agreement to the contrary, recover, as an addition to the consideration, a sum equal to the excess of the amount of the tax chargeable in respect of the goods over what it would have been if this Act had not been passed.

Increased
penalties
for offences
in relation
to customs,
excise and
purchase tax.
5 & 6
Geo. 5. c. 89.

12.—(1) The power of a court under the following enactments, namely—

- (a) section sixteen of the Finance (No. 2) Act, 1915 (which relates to the punishment for false declarations, etc., relating to the customs) ;
- (b) section fifteen of the Finance Act, 1935 (which relates to the punishment for evasions of duties of customs and of the laws and restrictions of the customs relating to the exportation, importation, unshipping, landing and delivery of goods) ;
- (c) subsection (2) of section twenty-four and subsection (5) of section thirty-five of the Finance (No. 2) Act, 1940 (which relate to the punishment for certain offences in relation to purchase tax) ;

of ordering an offender to be imprisoned for a term not exceeding two years in lieu of ordering him to pay a penalty, shall be extended so as to include a power of ordering the offender to be imprisoned as aforesaid in addition to ordering him to pay the penalty.

(2) Where a person is convicted of an offence for which he is liable to a penalty under section thirty-two of the Excise Management Act, 1827 (which relates to the removal, deposit or concealment of goods with intent to evade a duty of excise), the court may, in lieu of or in addition to ordering him to pay the penalty, order him to be imprisoned for a term not exceeding two years.

PART I.
—cont.
7 & 8
Geo. 4. c. 53.

(3) Where a court of summary jurisdiction—

(a) in pursuance of either of the two preceding subsections orders a person to be imprisoned for a term in addition to ordering him to pay a penalty for the same offence ; and

(b) further (whether at the same time or subsequently) orders him to be imprisoned for a term in respect of the non-payment of the sum adjudged to be paid by the conviction for that offence, or in respect of the default of a sufficient distress to satisfy that sum ;

the aggregate of the terms for which he is so ordered to be imprisoned shall not exceed two years.

(4) Subject to the provisions of the last preceding subsection, where the sum adjudged to be paid by the conviction of a court of summary jurisdiction under or by virtue of any statute relating to His Majesty's revenue under the control of the Commissioners exceeds fifty pounds, the maximum period of imprisonment that may be imposed in respect of the non-payment of that sum or in respect of the default of a sufficient distress to satisfy that sum shall, instead of being six months in all cases as provided by section fifty-three of the Summary Jurisdiction Act, 1879, be fixed in accordance with the following scale, that is to say :—

Where the amount of the sum adjudged to be paid by the conviction—	The said period shall not exceed—
Exceeds fifty pounds but does not exceed one hundred pounds	Six months.
Exceeds one hundred pounds but does not exceed two hundred and fifty pounds	Nine months.
Exceeds two hundred and fifty pounds	Twelve months.

(5) In this section the expression “ sum adjudged to be paid by the conviction ” includes any costs adjudged to be paid by the conviction of which the amount is ascertained by the conviction.

(6) In the application of this section to Scotland—

(a) in subsections (3) and (4) the words “ or in respect of the default of a sufficient distress to satisfy that sum ” shall be omitted ;

(b) in subsection (4) for the words “ instead of being six months in all cases as provided by section fifty-three of the Summary Jurisdiction Act, 1879 ” there shall be substituted the words “ notwithstanding anything in section forty-eight of the Summary Jurisdiction (Scotland) Act, 1908 ”.

8 Edw. 7.
c. 65.

PART I.
—*cont.*

(7) In the application of this section to Northern Ireland the following subsection shall be substituted for subsection (3)—

“(3) In relation to a sentence imposed by virtue of subsection (1) or subsection (2) of this section, section forty-four of the Summary Jurisdiction and Criminal Justice Act (Northern Ireland), 1935 (which limits to twelve months the aggregate term of sentences of imprisonment imposed for the same offence in default of a fine and otherwise) shall have effect as if for the words ‘twelve months’ there were substituted the words ‘two years’ ”;

and subsections (4) and (5) shall be omitted.

PART II.

INCOME TAX.

Income tax
for 1943-44.

13.—(1) Income tax for the year 1943-44 shall be charged at the standard rate of ten shillings in the pound, and, in the case of an individual whose total income exceeds one thousand five hundred pounds, at such higher rates in respect of the excess over one thousand five hundred pounds as Parliament may hereafter determine.

(2) All such enactments as had effect with respect to the income tax charged for the year 1942-43, other than such enactments as by their terms relate only to tax for that year, shall have effect with respect to the income tax charged for the year 1943-44.

Higher rates
of income tax
for 1942-43.

14. Income tax for the year 1942-43 shall be charged at rates exceeding the standard rate in the case of individuals whose total incomes exceed two thousand pounds and in respect of the excess of their total incomes over that sum; and the said rates shall be rates in the pound which respectively exceed the standard rate for the year 1942-43 by the amounts specified in the second column of the Table in subsection (1) of section seven of the Finance (No. 2) Act, 1940.

Relief where
a person is
employed or
maintained
to take charge
of children.

15.—(1) Subject to the provisions of this section, if an individual proves, in the case of a year of assessment,—

- (a) that he is entitled to relief under section twenty-one of the Finance Act, 1920, in respect of a child resident with him; and
- (b) that a female person is resident with and maintained or employed by him for the purpose of having the charge and care of the child; and
- (c) that neither he nor any other individual is entitled under sections nineteen to twenty-two of that Act to a deduction of tax in respect of the person so employed or maintained or, if he or any other individual is so entitled, that the claim thereto has been relinquished; and

(d) that he is not entitled under section nineteen or section twenty of that Act to a deduction of tax in respect of any other person,

he shall be entitled to a deduction from the amount of tax with which he is chargeable for that year equal to tax at the standard rate on fifty pounds.

(2) Not more than one deduction of tax shall be allowed under this section to any claimant for any year.

(3) No relief shall be given under this section to a male claimant for any year if he is entitled for that year to the higher of the two allowances provided for by subsection (1) of section eighteen of the Finance Act, 1920 (that is to say, the allowance provided for certain married persons) unless throughout that year his wife was totally incapacitated by physical or mental infirmity, or to a female claimant unless throughout that year she was either incapacitated as aforesaid or in full-time employment or engaged full-time in some trade, profession or vocation.

(4) Where more than one individual is entitled to relief under this section in connection with the same child, the fifty pounds mentioned in subsection (1) of this section shall be apportioned between them in such proportions as may be agreed between them or, in default of agreement, in accordance with such apportionment as may be adopted in relation to that child under section twenty-four of the Finance Act, 1940, for the purposes of the children relief.

An apportionment may be made under this section notwithstanding that relief has already been allowed thereunder to any individual, and if it appears as a result of the apportionment that the individual has been allowed too much relief, the amount of the excess may, if not otherwise made good, be assessed under Case VI of Schedule D and recovered from him accordingly.

(5) Section twenty-four of the Finance Act, 1920 (which relates to relief to individuals not resident in the United Kingdom) shall have effect as if the relief conferred by this section had been conferred by a provision of Part II of that Act.

(6) All such provisions of the Income Tax Acts as apply in relation to deductions of tax under section forty of the Finance Act, 1927, shall, with any necessary modifications, apply in relation to deductions of tax under this section.

16.—(1) Subsection (1) of section twenty-two of the Finance Act, 1920 (which, as amended by subsection (1) of section forty of, and the Fifth Schedule to, the Finance Act, 1927, provides for a deduction of tax on twenty-five pounds in the case of a claimant who maintains at his own expense a person whose total income from all sources does not exceed fifty pounds a year, being either an aged or infirm relative of his or his wife's, or his or his wife's widowed mother, and for a like deduction in the case of a claimant

Increases of
allowances for
dependent
relatives.

PART II.
—cont.

who, by reason of old age or infirmity, is compelled to depend on the services of a daughter resident with and maintained by him) shall, except in relation to a claim made on the ground that the claimant is dependent on the services of a daughter, have effect with the substitution—

- (a) for the words "fifty pounds" of the words "eighty pounds"; and
- (b) for the words "to a deduction of twenty-five pounds in respect of each person whom he so maintains" of the words "in respect of each person whom he so maintains to a deduction of fifty pounds reduced, if the total income from all sources of that person exceeds thirty pounds a year, by the amount of the excess".

1 & 2
Geo. 6. c. 46.

(2) Section twenty-one of the Finance Act, 1938 (which provides for relief, not exceeding tax on twenty-five pounds, for relatives who have been denied wholly or in part unemployment allowance or public assistance) shall have effect as if for the words "twenty-five pounds" there were substituted the words "fifty pounds".

(3) A claimant shall not, by reason of the coming into operation of this section, be entitled to less relief from income tax than that to which he would otherwise be entitled.

Extension to
1943-44 of
s. 11 of
Finance
(No. 2) Act,
1939.

17. Section eleven of the Finance (No. 2) Act, 1939 (which grants relief in respect of diminution of earned income owing to circumstances directly or indirectly connected with the present war) shall apply in relation to tax for the year 1943-44 as it applied in relation to tax for the year 1939-40, with the adaptation that references to the year 1939-40 shall be construed as references to the year 1943-44 and references to the year 1938-39 shall be construed as references to the year 1942-43.

Exemption
from tax of
foreign service
allowances to
Crown
servants.

18. Where any allowance to any person in the service of the Crown is certified by the Treasury to represent compensation for the extra cost of having to live outside the United Kingdom in order to perform his duties, that allowance shall not be regarded as income for any of the purposes of the Income Tax Acts.

Post-war
credits to
members of
forces and
special
constables, &c.

19. The sums known as post-war credits paid either—

- (a) under any Order in Council, Royal Warrant or King's Order to members of the armed forces of the Crown or of the Voluntary Aid Detachments; or
- (b) under arrangements certified by the Treasury to be arrangements providing similar benefits to—

1 & 2
Will. 4. c. 41.
45 & 46
Vict. c. 50.
55 & 56 Vict.
c. 55.

(i) special constables appointed under the Special Constables Act, 1831, or section one hundred and ninety-six of the Municipal Corporations Act, 1882, or under section ninety-six of the Burgh Police (Scotland) Act, 1892, as amended or extended by any

subsequent enactment or any similar provision contained in a local Act, or members of the Police War Reserve, the Women's Auxiliary Police Corps or the Police Auxiliary Messenger Service ; or

PART II.
—cont.

(ii) members of the National Fire Service ; or

(iii) members of the Civil Defence Reserve or the civil defence ambulance, decontamination, first-aid party, first-aid post, messenger, report and control, rescue or wardens' services ; or

(iv) members of the fireguard service ; or

(v) members of the Royal Observer Corps ; or

(vi) persons in Northern Ireland similar to any of the persons specified in any of the preceding subparagraphs,

shall not be regarded as income for any of the purposes of the Income Tax Acts for any year of assessment, including a year of assessment before the year 1943-44.

20. For the removal of doubts, it is hereby declared that the provisions of Part IV of the Finance Act, 1938, and section twenty-one of the Finance Act, 1936 (which relate to the income tax to be paid in the case of certain settlements) and the provisions of section twenty of the Finance Act, 1922 (which relates to certain revocable and other dispositions) have effect in accordance with the provisions of the Sixth Schedule to this Act in the case of any settlement or disposition where there is more than one settlor or more than one person who made the disposition.

Application of certain enactments to settlements and dispositions where there is more than one settlor or disposer.
26 Geo. 5. & 1 Edw. 8. c. 34.
12 & 13 Geo. 5. c. 17.

PART III.

EXCESS PROFITS TAX.

21. Section thirty-one of the Finance Act, 1941 (which provides for an addition to the standard profits in the case of concerns producing certain metals and oil) shall have effect and be deemed always to have had effect as if references therein to metal and to the mining thereof included respectively references to sand, gravel, limestone, sandstone, igneous rock, chalk, asbestos and mica and the extraction thereof from natural deposits.

Extension of s. 31 of Finance Act, 1941.
4 & 5 Geo. 6. c. 30.

22.—(1) The provisions of this section shall have effect in the case of a trade or business which includes the mining of any metal or the getting of oil from oil wells, being a trade or business with respect to which a certificate given by the Treasury under sub-section (1) of section thirty-one of the Finance Act, 1941, is in force.

Costs incurred by concerns producing certain minerals

(2) If, in the case of a trade or business which includes the mining of metal in the form of ore, the average metallic content

PART III.
—cont.

of the ore consumed in a chargeable accounting period is greater than the average metallic content of the ore consumed—

(a) in the standard period, if any; or

(b) if the person carrying on the trade or business so elects, in such accounting period ending before that chargeable accounting period and ending after the standard period, if any, as that person may select,

being in either case ore mined by the person carrying on the trade or business, then, for the purpose of computing the profits of the trade or business for that chargeable accounting period, the cost of obtaining and reducing the ore consumed in that chargeable accounting period shall be taken to be a sum bearing to the actual cost of obtaining and reducing it the same proportion that the first-mentioned average bears to the last-mentioned average.

(3) In the case of a trade or business which includes the mining of metal otherwise than in the form of ore or the getting of oil from oil-wells, if, in any chargeable accounting period, all or any of the metal or oil mined or got was, for the purpose of securing additional output, mined or got otherwise than in accordance with the usual practice, then, if the cost of mining or getting all the metal or oil mined or got in that chargeable accounting period is less than what would have been the cost of mining or getting the like quantity of metal or oil in accordance with the usual practice, the last-mentioned cost shall, for the purpose of computing the profits of the trade or business for the chargeable accounting period in question, be substituted for the first-mentioned cost.

(4) Any question arising under this section shall be determined by the Commissioners, subject, however, to an appeal to the Board of Referees.

(5) This section applies to the computation of the profits of a trade or business for any chargeable accounting period ending after the end of March, nineteen hundred and forty, and section thirty-three of the Finance Act, 1941 (which relates to the computation of profits and standard profits for chargeable accounting periods falling partly before and partly after the said end of March) shall apply as if, in paragraph (c) of subsection (1) of that section, the expression "the amending provisions" included the preceding provisions of this section.

(6) In this section, the following expressions have the meanings hereby respectively assigned to them, that is to say—

"cost", in relation to the obtaining and reducing of ore mined by the person carrying on a trade or business, means the direct cost incurred by that person on labour, materials and power in mining the ore and reducing it (whether by smelting or otherwise) together with the cost to that person of repairs to buildings, plant and

machinery used wholly or mainly for the mining and reduction thereof ;

“ metal ” means the metal to which the certificate of the Treasury relates, and “ metallic ” shall be construed accordingly ;

“ ore ” means ore containing the metal aforesaid ;

“ standard period ”, in relation to a trade or business carried on by a company which is a member of a group of companies, being a trade or business the standard profits of which are ascertained in accordance with subparagraph (2) of paragraph 2 of Part III of the Fifth Schedule to the Finance Act, 1940, means the standard period of the group ;

and references in this section to the ore consumed or the metal mined or the oil got in any period shall be construed as references to the ore, metal or oil the profits attributable to which are included in the profits for that period.

(7) This section shall have effect as if references to metal and the mining thereof included respectively references to limestone, sandstone, igneous rock, chalk, asbestos and mica and to the extraction thereof from natural deposits.

23.—(1) Where—

- (a) arrangements are in force in connection with any trade or business having as their object or one of their objects the provision of benefits to or in respect of all or any of the persons employed or to be employed in the trade or business ; and
- (b) any payment (whether to a superannuation or other fund or under a policy of insurance or under a contract for a deferred annuity or for a capital sum or otherwise) is made under those arrangements in respect of back service (whether rendered to the person carrying on the trade or business or not),

Payments to
superannua-
tion funds, &c.
in respect of
back service.

no deduction shall be made in respect of that payment in computing the profits of the trade or business for any accounting period for the purposes of excess profits tax :

Provided that,—

- (i) if the person carrying on the trade or business so elects, the payment shall be apportioned among the accounting periods during which the back service was rendered as may be just and the parts thereof so apportioned to any of those periods which include, consist of or fall wholly or partly within the standard period (if any) or any chargeable accounting period shall be deducted in computing the profits of the trade or business for those accounting periods respectively for the purposes of excess profits tax ; and

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—*cont.*

- (ii) if the person carrying on the trade or business so elects and the payment was made before the second day of February, nineteen hundred and forty-three, or was made in pursuance of an undertaking to make it given or of an enactment passed before that date, the provisions of the Seventh Schedule to this Act shall have effect in relation to the payment, and, where the payment is one of a series of payments, also in relation to the other payments.
- (2) For the purposes of this section, service of any person shall, in relation to any arrangements, be deemed to be back service if it was rendered before the arrangements were made or before the arrangements applied to him.
- (3) A payment shall be deemed for the purposes of this section to be made in respect of back service if any of the following conditions are fulfilled with respect to it, that is to say—
- (a) it is expressed under the arrangements in question to be made in respect of service the whole or part of which is back service; or
- (b) the benefits to or towards the provision of which the payment is made will be computed by reference to the length of service the whole or part of which is back service; or
- (c) the said benefits are provided or are to be provided in recognition of service the whole or part of which is back service:

Provided that—

- (i) where part only of the service mentioned in any of the said conditions is back service, only so much of the payment shall be treated, by virtue of the fulfilment of that condition, as in respect of back service as, on a just apportionment of the payment, is referable to such service;
- (ii) in determining for the purposes of this section whether or not benefits are or are to be provided in recognition of any particular service, all relevant facts shall be taken into consideration and the statements of the parties concerned, whether embodied in the arrangements or not, shall not be taken as conclusive.
- (4) Where arrangements are modified by subsequent arrangements so as to provide for new or greater benefits, the original arrangements and the modifying arrangements shall be treated for the purposes of this section as separate arrangements and any payments made under the arrangements as modified shall be apportioned accordingly.
- (5) In this section "benefit" means, in relation to any person, any periodical or lump sum payment payable at a future date (whether before, at or after the date of his retirement), and

includes any such payment to or for the benefit of his spouse, children (including adopted children and illegitimate children) relations or dependents; and for the purposes of this section any director of a company or person employed in the management of a company shall be deemed to be a person employed and "service" shall be construed accordingly.

PART III.
—*cont.*

(6) Nothing in this section affects, in relation to any such payment or part of a payment as is not in respect of back service, subsection (2) of section thirty-three of the Finance Act, 1940 (which relates to the spreading over several accounting periods of deductions not reasonably and properly attributable to one period only) or section thirty-two of the Finance Act, 1921, as 11 & 12 Geo. 5 applied to excess profits tax (which relates to the exemption of c. 32. superannuation funds from tax).

(7) The enactments relating to excess profits tax shall be deemed always to have had effect as amended by this section:

Provided that nothing in this section shall affect, for the chargeable accounting period to which the appeal related, any payment concerning which notice of appeal to the Board of Referees had been given before the second day of February, nineteen hundred and forty-three, against a determination of the Commissioners under subsection (2) of section thirty-three of the Finance Act, 1940.

24.—(1) Where any of the stock in trade of a company is disposed of otherwise than for at least its full market value and is so disposed of either to, or directly or indirectly for the benefit or by the procurement of, any persons who directly or indirectly hold, or are in a position to obtain, a controlling interest in the company, and any of that stock is disposed of by any person at a profit but in circumstances in which, apart from this section, the full tax (as hereinafter defined) is not payable or, in the opinion of the Commissioners, is unlikely to be recovered, the Commissioners may direct—

- (a) that such sum as may be specified in the direction, being the sum which, in the opinion of the Commissioners, is equal to the full tax, shall be chargeable by way of excess profits tax; and
- (b) that that sum shall be a joint and several liability of such persons as may be specified in the direction, being the company and the persons who, in the opinion of the Commissioners, obtained (but for this section) financial benefits as a result of the transactions aforesaid and any other transactions which, in the opinion of the Commissioners, were effected in connection with or in association with any of the said transactions:

PART III.
—cont.

Provided that,—

- (i) if the Commissioners think fit, the direction may apportion the said sum among all or any of the persons who would otherwise be jointly and severally liable as aforesaid, and where a part of the said sum is apportioned to more than one of the said persons, that portion of the said sum shall be a joint and several liability of the particular persons to whom it is apportioned and not of any other persons ; and
- (ii) where any person has (apart from this section) obtained financial benefits as aforesaid but only by reason of the transfer by him of shares which he did not obtain under any such transaction as aforesaid and he has not, apart from that transfer, been concerned in any such transaction as aforesaid, the direction shall apportion the said sum so that there is apportioned to him no greater part thereof than is equal to the amount by which he is, under subsection (4) of this section, deemed to have (apart from this section) financially benefited.

(2) In this section, the expression “ the full tax ” means the excess profits tax which, if the stock, instead of being disposed of otherwise than for at least its full market value, had, at the time when it was so disposed of, been sold by the company on its own behalf in the ordinary course of trade for its full market value, would have become payable by or in respect of that company for the chargeable accounting period during which the stock was so disposed of, no account being taken of any relief for deficiencies of profits.

(3) As between the persons who, by virtue of a direction under this section, become jointly and severally liable for any sum, their respective liabilities shall, unless otherwise agreed between them, be proportionate to the extent to which they respectively benefited financially as a result of all the transactions in question, apart from their liability under this section.

(4) Where any such transaction as aforesaid consists of the transfer of any shares, the persons transferring the shares shall be deemed to have (apart from this section) financially benefited—

- (a) if they obtained the shares under any such transaction as aforesaid, to the extent by which the consideration which they obtained for the shares exceeds in value the consideration which they gave for the shares ;
- (b) if they did not obtain the shares under any such transaction as aforesaid, to the extent by which the consideration which they obtained for the shares is greater than it might have been expected to be if the stock had been sold by the company immediately before the transfer in such circumstances that the full tax became payable by or in respect of the company.

(5) For the purposes of this section, a barrister, solicitor or accountant shall not be treated as having obtained financial benefits by reason only that he received in the ordinary course of his profession remuneration in respect of ordinary professional services rendered in connection with any such transaction as aforesaid at a rate not greater than that customary in the profession for services of such a character, a person who carries on a banking business shall not be treated as having obtained financial benefits by reason only that he received interest at not more than the normal rate on a loan made by him in connection with any such transaction as aforesaid, and a person who carries on a business which includes dealing in stock of the kind to which a direction under subsection (1) of this section relates shall not be treated as having obtained financial benefits by reason only that he bought some or all of the stock in question at a price representing the full market value thereof and disposed thereof at a profit.

(6) A direction under this section may be given notwithstanding that a direction in relation to the transactions in question or some of them has been given or might have been given under section thirty-five of the Finance Act, 1941, and any direction given under this section may contain such provisions for granting relief from any liability to excess profits tax existing apart from the direction as appear to the Commissioners to be consequential on the other provisions of the direction.

(7) Any person aggrieved by a direction of the Commissioners under this section may appeal to the Special Commissioners, and on any such appeal any other person specified in the direction shall be entitled to appear and be heard and the Special Commissioners may vary, confirm or cancel the direction.

The decision of the Special Commissioners shall (subject to any appeal therefrom which is competent under the enactments relating to excess profits tax) be binding on the Commissioners and on the appellant and on all persons entitled to appear and be heard as aforesaid.

(8) The enactments relating to excess profits tax shall be deemed always to have had effect as amended and extended by the foregoing provisions of this section.

(9) The Commissioners may by notice in writing require any person to furnish them within such time as they may direct (not being less than thirty days) with such particulars as they think necessary for the purpose of this section, and if that person, without reasonable excuse, fails to comply with the notice he shall be liable to a penalty not exceeding five hundred pounds, and, after judgment has been given for that penalty, to a further penalty not exceeding fifty pounds for every day on which the failure continues.

PART III.
—cont.

Where the person on whom any such notice is served is a body corporate, the secretary or other officer performing the duties of the secretary of the body corporate shall be liable to a penalty if there is a failure to comply with the notice, as well as the body corporate.

Appeals
against
directions.

25. All the provisions of the enactments relating to appeals against assessments to excess profits tax (including the provisions enabling the Commissioners to make regulations) shall have effect and be deemed always to have had effect with respect to any appeal against directions of the Commissioners which, under any of the enactments relating to excess profits tax, lies to the Special Commissioners.

PART IV.

MISCELLANEOUS.

Amendment
of ss. 30
and 31
of Finance
Act, 1939.

26.—(1) Sections thirty and thirty-one of the Finance Act, 1939 (which provide respectively—

- (a) for the charging of Estate duty on annuities or other interests purchased or provided by persons having property derived from the deceased; and
- (b) for disallowing, for Estate duty purposes, debts to persons having property derived from the deceased and charging duty on repayments of such debts),

shall, in the case of a person dying after the twelfth day of April, nineteen hundred and forty-three, have effect subject to the provisions of this section.

(2) In those sections, the expression “property derived from the deceased” shall include any property which was the subject matter of a disposition, made by the deceased, either by himself alone or in concert or by arrangement with any other person, notwithstanding that the disposition was made for full consideration in money or money’s worth paid to the deceased for his own use or benefit, or which represented any of the subject matter of such a disposition, whether directly or indirectly, and whether by virtue of one or more intermediate dispositions, and whether any such intermediate disposition was or was not for full or partial consideration:

Provided that where the first-mentioned disposition was for full consideration in money or money’s worth paid to the deceased for his own use or benefit and it is proved to the satisfaction of the Commissioners of Inland Revenue that the disposition was not part of associated operations which included—

- (a) a disposition by the deceased, either by himself alone or in concert or by arrangement with any other person, otherwise than for full consideration in money or

money's worth paid to the deceased for his own use or benefit; or

PART IV.
—cont.

- (b) a disposition by any other person operating to reduce the value of the property of the deceased,

then, in considering whether estate duty should be charged under those sections, the said first-mentioned disposition shall be left out of account as if this section did not apply in relation to it.

(3) In this section the expressions "disposition" and "subject matter" have the meanings assigned to them by subsection (3) of the said section thirty, and the expression "associated operations" has the meaning assigned to it by section fifty-nine of the Finance Act, 1940.

27.—(1) Section eighteen of the Finance Act, 1896 (which determines the rate of interest on death duties) shall, as respects interest accruing due on or after the thirteenth day of April, nineteen hundred and forty-three, have effect with the substitution for the reference therein to three per cent. of a reference to two per cent.

Reduction of rate of interest on death duties. 59 & 60 Vict. c. 28.

(2) As respects interest accruing due on or after the said date, two per cent. shall be substituted for three per cent. as the rate of interest charged—

- (a) by subsection (3) of section seventeen of the Law of Property Act, 1925, as amended by subsection (2) of section forty-three of the Finance Act, 1933, on death duties payable and remaining unpaid in respect of land which, by virtue of the said subsection (3), become immediately payable on a conveyance of the land which over-reaches the charge for the duties; and

15 & 16 Geo. 5. c. 20.

- (b) by subsection (6) of section seventy-three of the Land Registration Act, 1925, as so amended, on death duties payable and remaining unpaid in respect of a registered estate which, by virtue of the said subsection (6), become immediately payable on a disposition of the estate which overrides the charge for the duties.

15 & 16 Geo. 5. c. 21.

28.—(1) The provisions set out in the Eighth Schedule to this Act (being certain provisions of the enactments relating to income tax as to penalties for neglect to deliver lists, declarations and statements and the time for bringing proceedings, set out with certain adaptations) shall have effect in relation to excess profits tax and the national defence contribution.

Application of income tax provisions to excess profits tax and the national defence contribution.

(2) In section thirty-four of the Finance Act, 1942 (which relates to evidence in cases of fraud or wilful default), there shall be inserted, after the words "income tax", where those

PART IV.
—cont.

words occur in subsection (1), the words "excess profits tax and the national defence contribution" and, in both places where those words occur in subsection (2), the words "excess profits tax or the national defence contribution".

Provisions as to permanent annual charge for the National Debt.

29.—(1) The permanent annual charge for the National Debt for the financial year ending with the thirty-first day of March, nineteen hundred and forty-four, shall be the sum of three hundred and seventy-five million pounds instead of the sum of three hundred and fifty-five million pounds.

2 & 3 Geo. 6.
c. 117.
18 & 19
Geo. 5. c. 17.

(2) The Treasury may at any time, if they think fit, raise money in any manner in which they are authorised to raise money under the National Loans Act, 1939, for providing any sums required during the said financial year for the purposes mentioned in paragraph (a) or paragraph (b) of subsection (4) of section twenty-three of the Finance Act, 1928, and the amount required by the said subsection (4) to be issued from the permanent annual charge for the National Debt for the purposes aforesaid in that year shall be decreased by the amount raised under this subsection.

(3) Any securities created and issued to raise money under the last preceding subsection shall be deemed for all purposes to have been created and issued under the National Loans Act, 1939.

Amendment as to deficit for 1942-43.
20 & 21
Geo. 5. c. 28.

30. No issue shall be made out of the Consolidated Fund under section forty-eight of the Finance Act, 1930 (which provides in the case of a deficit in any year for the redemption in the next year of a corresponding amount of debt) in respect of the deficit for the financial year ending with the thirty-first day of March, nineteen hundred and forty-three.

Short title, construction, extent and repeal.
39 & 40
Vict. c. 36.

31.—(1) This Act may be cited as the Finance Act, 1943.

(2) Part I of this Act—

(a) so far as it relates to duties of customs, shall be construed as one with the Customs Consolidation Act, 1876, except that the expression "the United Kingdom" shall not include the Isle of Man;

(b) so far as it relates to duties of excise, shall be construed as one with the Acts which relate to the duties of excise and to the management of those duties;

(c) so far as it relates to purchase tax, shall be construed as one with Part V of the Finance (No. 2) Act, 1940,

and in the said Part I the expression "the Commissioners" means the Commissioners of Customs and Excise.

(3) Part II of this Act shall be construed as one with the Income Tax Acts.

PART IV.
—*cont.*

(4) Part III of this Act shall be construed as one with Part III of the Finance (No. 2) Act, 1939.

(5) Any reference in this Act to any other enactment shall, except in so far as the context otherwise requires, be construed as a reference to that enactment as amended by or under any other enactment, including this Act.

(6) This Act shall not extend to Northern Ireland in so far as it relates to duties with respect to which the Parliament of Northern Ireland has power to make laws.

(7) The enactments specified in the Ninth Schedule to this Act are hereby repealed to the extent mentioned in the third column of that Schedule.

SCHEDULES.

Section 1.

FIRST SCHEDULE.

BEER (RATES OF DUTY AND DRAWBACK).

PART I.

Rate of Excise Duty.

	£	s.	d.
For every 36 gallons of worts of a specific gravity of 1,027 degrees or less	6	18	4½
For every 36 gallons of worts of a specific gravity exceeding 1,027 degrees—			
For the first 1,027 degrees	6	18	4½
For every additional degree in excess of 1,027 degrees	5	1½	
and so in proportion for any less number of gallons.			

PART II.

Rate of Excise Drawback.

	£	s.	d.
For every 36 gallons the worts whereof were, before fermentation, of a specific gravity of 1,027 degrees or less	6	18	6½
For every 36 gallons the worts whereof were, before fermentation, of a specific gravity exceeding 1,027 degrees—			
For the first 1,027 degrees	6	18	6½
For every additional degree in excess of 1,027 degrees... ..	5	1½	
and so in proportion for any less number of gallons.			

As respects beer the worts whereof were, before fermentation, of a specific gravity of less than 1,027 degrees, the amount of drawback allowable shall not exceed by more than twopence for every 36 gallons the amount of duty which is shown to the satisfaction of the Commissioners to have been paid.

PART III.

Rate of Customs Duty in case of Beer being an Empire Product.

	£	s.	d.
For every 36 gallons the worts whereof were, before fermentation, of a specific gravity of 1,027 degrees or less	6	18	9½
For every 36 gallons the worts whereof were, before fermentation, of a specific gravity exceeding 1,027 degrees—			
For the first 1,027 degrees	6	18	9½
For every additional degree in excess of 1,027 degrees... ..	5	1½	
and so in proportion for any less number of gallons.			

PART IV.

1ST SCH.
—cont.*Rate of Customs Duty in case of Beer not being an Empire Product.*

	£	s.	d.
For every 36 gallons the worts whereof were, before fermentation, of a specific gravity of 1,027 degrees or less	7	18	9½
For every 36 gallons the worts whereof were, before fermentation, of a specific gravity exceeding 1,027 degrees—			
For the first 1,027 degrees	7	18	9½
For every additional degree in excess of 1,027 degrees...	5		1½
and so in proportion for any less number of gallons.			

PART V.

Rate of Customs Drawback in case of Beer being an Empire Product.

	£	s.	d.
For every 36 gallons the worts whereof were, before fermentation, of a specific gravity of 1,027 degrees or less	6	18	6½
For every 36 gallons the worts whereof were, before fermentation, of a specific gravity exceeding 1,027 degrees—			
For the first 1,027 degrees	6	18	6½
For every additional degree in excess of 1,027 degrees ...	5		1½
and so in proportion for any less number of gallons.			

As respects beer the worts whereof were, before fermentation, of a specific gravity of less than 1,027 degrees, the amount of drawback allowable shall not exceed the amount of duty which is shown to the satisfaction of the Commissioners to have been paid, less threepence for every 36 gallons.

PART VI.

Rate of Customs Drawback in case of Beer not being an Empire Product.

	£	s.	d.
For every 36 gallons the worts whereof were, before fermentation, of a specific gravity of 1,027 degrees or less	7	18	6½
For every 36 gallons the worts whereof were, before fermentation, of a specific gravity exceeding 1,027 degrees—			
For the first 1,027 degrees	7	18	6½
For every additional degree in excess of 1,027 degrees	5		1½
and so in proportion for any less number of gallons.			

As respects beer the worts whereof were, before fermentation, of a specific gravity of less than 1,027 degrees, the amount of drawback allowable shall not exceed the amount of duty which is shown to the satisfaction of the Commissioners to have been paid, less threepence for every 36 gallons.

SECOND SCHEDULE.

Section 2.

SPIRITS (RATES OF ORDINARY CUSTOMS DUTY).

Description of Spirits.	Preferential Rates.		Full Rates.	
	In cask.	In bottle.	In cask.	In bottle.
For every gallon computed at proof of—	£ s. d.	£ s. d.	£ s. d.	£ s. d.
Brandy or rum ...	7 17 10	7 18 10	8 0 4	8 1 4
Imitation rum or geneva	7 17 11	7 18 11	8 0 5	8 1 5
Unsweetened spirits other than those already enumerated...	7 17 11	7 17 11	8 0 5	8 0 5
For every gallon of perfumed spirits ...	12 12 0	12 13 0	12 16 0	12 17 0
For every gallon of liqueurs, cordials, mixtures and other preparations in bottle entered in such manner as to indicate that the strength is not to be tested ...	—	10 13 10	—	10 17 2
For every gallon computed at proof of spirits of any description not heretofore mentioned, including naphtha and methylic alcohol purified so as to be potable, and mixtures and preparations containing spirits ...	7 17 11	7 18 11	8 0 5	8 1 5

THIRD SCHEDULE.

Section 3.

WINES (RATES OF CUSTOMS DUTY).

PART I.

Non-Empire Products.

Description of Wine.	Rate of duty per gallon.
Not exceeding 25 degrees proof spirit	£ s. d. 17 0
Exceeding 25 degrees proof spirit and not exceeding 42 degrees proof spirit	1 14 0
For every degree or fraction of a degree above 42 degrees proof spirit, an additional duty	2 10
Sparkling, an additional duty	1 2 0
Still, in bottle, an additional duty	3 6

PART II.
Empire Products.

3RD SCH.
—cont.

Description of Wine.	Rate of duty per gallon.
	£ s. d.
Exceeding 27 degrees proof spirit and not exceeding 42 degrees proof spirit	1 10 0
For every degree or fraction of a degree above 42 degrees proof spirit, an additional duty	2 6
Sparkling, an additional duty	15 9
Still, in bottle, an additional duty	2 6

FOURTH SCHEDULE.

TOBACCO (RATES OF DUTY AND DRAWBACK).

Section 5.

PART I.

Customs Duties.

Description of Tobacco.	Rates of duty per pound.	
	Full rates.	Preferential rates.
	£ s. d.	£ s. d.
Tobacco unmanufactured—		
containing 10 lbs. or more of moisture in every 100 lbs. weight thereof—		
unstripped	1 15 6	1 13 11½
stripped	1 15 6½	1 13 11½
containing less than 10 lbs. of moisture in every 100 lbs. weight thereof—		
unstripped	1 16 6	1 14 9½
stripped	1 16 6½	1 14 9½
Tobacco manufactured, viz. :—		
Cigars	2 4 1	2 1 1½
Cigarettes	2 0 7	1 18 2½
Cavendish or Negrohead	1 19 9	1 17 6
Cavendish or Negrohead manufactured in bond	1 18 0	1 16 0½
Other manufactured tobacco	1 18 0	1 16 0½
Snuff—		
containing more than 13 lbs. of moisture in every 100 lbs. weight thereof	1 17 4	1 15 5½
containing not more than 13 lbs. of moisture in every 100 lbs. weight thereof... ..	1 19 9	1 17 6

and so in proportion for any less quantity.

4TH SCH.
—cont.

PART II.

Excise Duties.

Description of Tobacco.	Rates of duty per pound.
Tobacco unmanufactured—	£ s. d.
containing 10 lbs. or more of moisture in every 100 lbs. weight thereof	1 13 9½
containing less than 10 lbs. of moisture in every 100 lbs. weight thereof	1 14 7½
Tobacco manufactured, viz. :—	
Cavendish or Negrohead manufactured in bond ...	1 16 0½
and so in proportion for any less quantity.	

PART III.

Drawback.

Description of Tobacco.	Rates per pound.	
	In respect of tobacco on which full customs duty has been paid.	In respect of tobacco on which customs duty at a preferential rate or excise duty has been paid.
	£ s. d.	£ s. d.
Cigars	1 18 2	1 16 7½
Cigarettes	1 16 6	1 14 11½
Cut, roll, cake or other manufactured tobacco	1 16 3	1 14 8½
Snuff (not being offal snuff)	1 16 0	1 14 5½
Stalks, shorts or other refuse of tobacco, including offal snuff	1 15 9	1 14 2½

FIFTH SCHEDULE.

ENTERTAINMENTS (RATES OF DUTY).

Section 6.

PART I.

Reduced Rates.

Amount of Payment.

Rate of Duty.

Where the amount of the payment,
excluding the amount of duty,—

	s.	d.
exceeds 3d. and does not exceed 11½d. ...	...	1½
exceeds 11½d. and does not exceed 1s. 3½d. ...	...	2½
exceeds 1s. 3½d. and does not exceed 1s. 5½d. ...	...	3½
exceeds 1s. 5½d. and does not exceed 1s. 7½d. ...	...	4½
exceeds 1s. 7½d. and does not exceed 1s. 9½d. ...	...	5½
exceeds 1s. 9½d. and does not exceed 1s. 11½d. ...	...	6½
exceeds 1s. 11½d. and does not exceed 2s. 0½d. ...	...	8½
exceeds 2s. 0½d. and does not exceed 2s. 3d. ...	...	9
exceeds 2s. 3d. and does not exceed 2s. 7d. ...	...	11
exceeds 2s. 7d. and does not exceed 2s. 10d. ...	...	1 2
exceeds 2s. 10d. and does not exceed 3s. 2d. ...	...	1 4
exceeds 3s. 2d. ...	...	1s. 4d. for the first 3s. 2d. and 2½d. for every 6½d. or part of 6½d. over 3s. 2d.

PART II.

Full Rates.

Amount of Payment.

Rate of Duty.

Where the amount of the payment,
excluding the amount of duty,—

	s.	d.
exceeds 3d. and does not exceed 5d. ...	...	½
exceeds 5d. and does not exceed 6½d. ...	...	¾
exceeds 6½d. and does not exceed 7½d. ...	...	1½
exceeds 7½d. and does not exceed 8d. ...	...	2
exceeds 8d. and does not exceed 8½d. ...	...	3½
exceeds 8½d. and does not exceed 10½d. ...	...	7½
exceeds 10½d. and does not exceed 1s. 0½d. ...	...	8½
exceeds 1s. 0½d. and does not exceed 1s. 4½d. ...	...	10½
exceeds 1s. 4½d. and does not exceed 1s. 8d. ...	...	1 1
exceeds 1s. 8d. and does not exceed 1s. 9d. ...	...	1 3
exceeds 1s. 9d. and does not exceed 2s. 0d. ...	...	1 6
exceeds 2s. 0d. and does not exceed 2s. 2d. ...	...	1 7
exceeds 2s. 2d. and does not exceed 2s. 6d. ...	...	2 0
exceeds 2s. 6d. and does not exceed 3s. 0d. ...	...	2 6
exceeds 3s. 0d. and does not exceed 3s. 5d. ...	...	2 7
exceeds 3s. 5d. and does not exceed 4s. 2d. ...	...	3 4
exceeds 4s. 2d. and does not exceed 4s. 11d. ...	...	4 2
exceeds 4s. 11d. and does not exceed 5s. 5d. ...	...	4 7
exceeds 5s. 5d. and does not exceed 5s. 11d. ...	...	5 0
exceeds 5s. 11d. and does not exceed 6s. 5d. ...	...	5 2
exceeds 6s. 5d. and does not exceed 6s. 11d. ...	...	5 10
exceeds 6s. 11d. ...	...	5s. 10d. for the first 6s. 11d. and 5d. for every 6d. or part of 6d. over 6s. 11d.

SIXTH SCHEDULE.

APPLICATION OF ENACTMENTS TO SETTLEMENTS AND DISPOSITIONS
WHERE THERE IS MORE THAN ONE SETTLOR OR PERSON WHO
MADE THE DISPOSITION.

PART I.

Application of Part IV of the Finance Act, 1938.

1. Subject to the provisions of this Part of this Schedule, Part IV of the Finance Act, 1938, has effect in relation to each settlor as if he were the only settlor.

2. References in the said Part IV to the property comprised in the settlement include, in relation to any settlor, only property originating from that settlor and references in the said Part IV to income arising under the settlement include, in relation to any settlor, only income originating from that settlor.

3. In considering for the purposes of the said Part IV, in relation to any settlor, whether any, and if so, how much, of the income arising under the settlement has been distributed, any sums paid partly out of income originating from that settlor and partly out of other income must (so far as not apportioned by the terms of the settlement) be apportioned evenly over all that income.

4. The references in subsection (1) of section thirty-eight and in section thirty-nine to sums payable by virtue or in consequence of any provision of the settlement or sums paid by virtue or in consequence of the settlement include, in relation to any settlor, only sums payable or paid by that settlor.

5.—(1) References in this Part of this Schedule to property originating from a settlor are references to—

- (a) property which that settlor has provided directly or indirectly for the purposes of the settlement; and
- (b) property representing that property; and
- (c) so much of any property which represents both property provided as aforesaid and other property as, on a just apportionment, represents the property so provided.

(2) References in this Part of this Schedule to income originating from a settlor are references to—

- (a) income from property originating from that settlor; and
- (b) so much of any such income of a body corporate as is mentioned in sub-paragraph (ii) of paragraph (a) of subsection (4) of section forty-one of the Finance Act, 1938, as corresponds to property originating from the settlor which is comprised in the settlement; and
- (c) income provided directly or indirectly by that settlor.

(3) In this paragraph—

- (a) references to property or income which a settlor has provided directly or indirectly include references to property or income which has been provided directly or indirectly by another person in pursuance of reciprocal arrangements with that settlor, but do not include references to property or income which that settlor has provided directly or indirectly in pursuance of reciprocal arrangements with another person;

- (b) references to property which represents other property include references to property which represents accumulated income from that other property.

6TH SCH.
—cont.

PART II.

Application of Finance Act, 1936, s. 21.

1. Subject to the provisions of this Part of this Schedule, section twenty-one of the Finance Act, 1936, has effect in relation to each settlor as if he were the only settlor.

2. For the purposes of the said section twenty-one, only the following can be taken into account, in relation to any settlor, as income paid by virtue or in consequence of the settlement to or for the benefit of a child of the settlor, that is to say,—

- (a) income originating from that settlor; and
- (b) in a case in which paragraph (b) of subsection (3) of the said section twenty-one applies, any sums which are under that paragraph to be deemed to be paid as income:

Provided that in applying the said paragraph (b) to any settlor—

- (i) the references to sums paid by virtue or in consequence of the settlement or any enactment relating thereto include only sums paid out of property originating from that settlor or income originating from that settlor; and
- (ii) the reference to the income which by virtue or in consequence of the settlement has been paid to or for the benefit of a child of the settlor or dealt with as mentioned in subsection (2) of the said section includes only income originating from that settlor.

3. The references in this Part of this Schedule to income originating, and property originating, from a settlor have the meanings assigned to them by paragraph 5 of Part I of this Schedule, except that paragraph (b) of sub-paragraph (2) of the said paragraph 5 must be treated as omitted.

PART III.

Application of Finance Act, 1922, s. 20.

1. Subject to the provisions of this Part of this Schedule, section twenty of the Finance Act, 1922, has effect in relation to each person who has made the disposition as if he were the only person who had made it.

2. References in the said section twenty to income payable or applicable by virtue or in consequence of the disposition include, in relation to any person making the disposition, only—

- (a) income from property which that person has provided directly or indirectly for the purposes of the disposition; and
- (b) income from property representing that property; and
- (c) income from so much of any property which represents both property provided as aforesaid and other property as, on a just apportionment, represents the property so provided; and
- (d) income provided directly or indirectly by that person.

3. In this Part of this Schedule, references to property which represents other property include references to property which represents accumulated income from that other property.

SEVENTH SCHEDULE.

PROVISIONS AS TO BACK-SERVICE PAYMENTS MADE BEFORE OR IN PURSUANCE OF UNDERTAKINGS GIVEN OR ENACTMENTS PASSED BEFORE 2ND FEBRUARY, 1943.

1. In the case of a payment which is not one of a series of payments there shall be deducted in computing the profits of the accounting period in which the payment was made a sum equal to one-twentieth of the amount of the payment, and the like deduction shall be made in the next succeeding accounting period, and so on, and no other deductions shall be made in respect of the payment or any part thereof in computing the profits of any accounting period :

Provided that—

- (a) where any accounting period is less than twelve months, the amount to be deducted in the case thereof shall be proportionately reduced so as to correspond with the length of the period ;
- (b) the total of the sums deducted shall not exceed the amount of the payment.

2. In the case of a series of payments the same deductions shall be made as would have been made under paragraph 1 of this Schedule if a single payment had been made at the date of the first of the payments of an amount equal to the actuarial value, estimated as at the date of the said first payment, of all the payments, and no other deductions shall be made in respect of any of the payments or any part thereof in computing the profits of any accounting period.

Provided that—

- (a) the sum to be deducted in the case of any accounting period shall not, together with the sums deducted in the case of previous accounting periods, exceed the total payments actually made up to the end of that accounting period ; and
- (b) where, by virtue of the foregoing proviso the amount of any deduction is reduced, the deduction which falls to be made in the case of the next succeeding accounting period shall be correspondingly increased, subject, however, to the application of that proviso to that succeeding accounting period, and so on.

3. References in this Schedule to accounting periods include references to accounting periods no part of which fall within the standard period (if any) or any chargeable accounting period, and this Schedule shall have effect as if the profits of all such accounting periods had to be computed for the purposes of excess profits tax, and the expressions "the total of the sums deducted" and "the sums deducted in the case of previous accounting periods" shall be construed accordingly.

4. This Schedule shall not apply to any payment unless it is a payment in respect of which a deduction is admissible on income tax principles and unless, apart from the provisions of this Act and of

subsection (2) of section thirty-three of the Finance Act, 1940 (which relates to the spreading over several accounting periods of deductions not reasonably and properly attributable to one period only), a deduction in respect of that payment or, where the payment is one of a series of payments, in respect of one or some of those payments, would have fallen to be made in computing the profits of an accounting period consisting of or including the whole or any part of the standard period or a chargeable accounting period.

7TH SCH.
—cont.

EIGHTH SCHEDULE.

Section 28.

APPLICATION OF INCOME TAX PROVISIONS TO EXCESS PROFITS TAX AND THE NATIONAL DEFENCE CONTRIBUTION.

Income Tax Act, 1918, s. 107.

8 & 9 Geo. 5.
c. 40.

107.—(1) A person who neglects to deliver or furnish within the time limited, or wilfully makes delay in delivering or furnishing, a true and correct return or true and correct particulars which he has been required under the enactments relating to excess profits tax or the national defence contribution to deliver or furnish, shall, if proceeded against by action or information in any court, forfeit the sum of twenty pounds and treble the amount of the tax with which he ought to be charged in respect of the chargeable accounting period in question.

140.—(1) A person who has delivered a return or particulars which he has been required under the enactments relating to excess profits tax or the national defence contribution to deliver or furnish and discovers any omission or wrong statement therein, may deliver an additional return or additional particulars rectifying the same, and shall not thereafter be liable to any proceeding by reason of his omission or wrong statement.

(2) A person who has not delivered such a return or such particulars within the time limited may deliver it or them at any time before proceedings for recovery of a penalty, incurred in respect of such non-delivery, have been commenced, and thereafter no such proceedings shall be taken.

Finance Act, 1923, s. 23 (1).

13 & 14 Geo. 5.
c. 14.

23.—(1) Proceedings for the recovery of any penalty incurred under the enactments relating to excess profits tax or the national defence contribution may be commenced at any time within six years next after the date on which it was incurred.

Section 31.

NINTH SCHEDULE

ENACTMENTS REPEALED.

Session and Chapter.	Short Title.	Extent of Repeal.
9 & 10 Geo. 5. c. 32	The Finance Act, 1919.	In section ten, the word "tobacco"; and in the Second Schedule, the word "tobacco".
15 & 16 Geo. 5. c. 36	The Finance Act, 1925.	In section nine, subsection (4); and in the Third Schedule, in Part II, the word "Tobacco", where it first occurs, and the words "Tobacco . . . Three-fourths of the full rate".
16 & 17 Geo. 5. c. 22	The Finance Act, 1926.	In section seven, in subsection (2), the words "or tobacco".
22 & 23 Geo. 5. c. 53	The Ottawa Agreements Act, 1932.	In section four, subsection (1); and in section fourteen, in the proviso to subsection (3), the words from "and (b) nothing" to the end of the proviso.
26 Geo. 5. & 1 Edw. 8. c. 34.	The Finance Act, 1936.	In section four, the proviso to subsection (1).
5 & 6 Geo. 6. c. 21.	The Finance Act, 1942.	In section one, subsection (1); sections two, three and four; in section five, subsections (1) and (3); section six; Parts I, III and IV of the First Schedule; the Second and Third Schedules; Parts I and II of the Fourth Schedule; and the Fifth Schedule.

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Town and Country Planning (Interim Development) Act, 1943.

6 & 7 GEO. 6. CH. 29.



ARRANGEMENT OF SECTIONS.

Section.

- i. Application of planning resolutions to land not already subject to planning schemes or resolutions.
2. Refusal and postponement of interim development applications.
3. Temporary permissions for interim development.
4. Revocation and modification of permissions for interim development.
5. Power to enforce interim development control.
6. Powers of Minister with respect to interim development applications.
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SCHEDULES :

First Schedule.—Appeals from decision to exercise power to enforce interim development control.

Second Schedule.—Repeals of 22 & 23 Geo. 5. c. 48.